

I was short, but I didn't pressure the short. As it was going down, I was covering.

So you were taking money off the table as the market went down.

Yes, but I was shorting the early rallies.

But you didn't continue to play the downtrend in the tech stocks, which lasted for 2½ years?

I didn't milk the downmove. I am not a milker. For me it was a question of "What's next?" There is never a shortage of themes. The market is always creating minibubbles. There is so much opportunity all the time that you never have to get yourself into trouble. You never have to be early. But I always have an inner conflict. There are certain periods where I get more obstinate because I think I'm right. I am more rigid than I would like to be. I think I am an exceptional trader, but sometimes I let my strong beliefs get in the way. I am working on letting go of my beliefs and be the trader I can be.

But the beliefs get you on the right side of the market.

The beliefs have always kept me making money and not playing the short-term moves that I don't really trust. The markets are such a greater fool's game. I don't want to be the greater fool. There is clearly ego there.

I understand why you may not want to play the momentum trade when it is contrary to your beliefs. But why not wait on the sidelines until you get the sense that the time is right?

[Zach interjects.] Jimmy has this amazing execution. There are days when the market is up 5 or 10 handles and Jimmy may be \$10 million short, and he will still finish up for the day. And I can see that if he had not done any executions, he would be down \$150,000 for the day. But instead he'll end up being up \$30,000 for the day just by constantly trading in and out. We did 520 orders today. So when Jimmy is short and the market is up, he is not necessarily losing.

[Jimmy speaking again.] That's the point. Regardless of my belief that the market will fall apart, even when the market gives me just a 1 percent or 2 percent move, I'm still taking chips off the table. That way of trading